usual accounting practice in handling inventories. As is well known, the standard procedure consists of taking inventory at the close of the year at the lower of cost or market. The "cost of goods sold" is then found by adding purchases to the opening inventory and subtracting the closing inventory, valued as described.

Last-In, First-Out. The first variation from this method consists of taking as the cost of goods sold the actual amount paid for the *most recently acquired* lots. The theory behind this method is that a merchant's selling price is related mainly to the current replacement price or the recent cost of the article sold. The point is of importance only when there are substantial changes in unit values from year to year; it cannot affect the aggregate reported profits over a long period but only the division of results from one year to another; it may be useful in reducing income tax by avoiding alternations of loss and profit due to inventory fluctuations.[3]

The Normal-Stock or Basic-Stock Inventory Method. A more radical method of minimizing fluctuations due to inventory values has been followed by a considerable number of companies for some years past. This method is based on the theory that the company must regularly carry a certain physical stock of materials and that there is no more reason to vary the value of this "normal stock" from year to year—because of market changes—than there would be to vary the value of the manufacturing plant as the price index rises or falls and to reflect this change in the year's operations. In order to permit the base inventory to be carried at an unchanging figure, the practice is to mark it down to a very low unit price level—so low that it should never be necessary to reduce it further to get it down to current market.

As long ago as 1913 National Lead Company applied this method to the three principal constituents of its inventory, *viz.*, lead, tin and antimony. The method was subsequently adopted also by American Smelting and Refining Company and American Metals Company. Some of the New England cotton mills had followed a like policy, prior to the collapse in the cotton market in 1930, by carrying their raw cotton and work in process at very low base prices. In 1936 the Plymouth Cordage Company

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[3] Corporations were first permitted to use this so-called "last-in, first-out" method by the terms of the Revenue Acts of 1938 and 1939, applying to 1939 and subsequent years. A hypothetical example to illustrate the difference between the two inventory methods is given in Appendix Note 48.